

An Enabling Regulatory Framework for AI in LAC

1. Introduction & Context

The diffusion of Artificial Intelligence (AI) in Latin America and the Caribbean (LAC) is accelerating across key sectors like finance, health, and government services. However, the region faces a distinct **"AI Trilemma"** heavily complicated by structural socio-economic characteristics:

- **Socio-Economic Risks:** Unchecked AI deployment risks worsening the world's highest levels of income inequality, deepening informal labor markets (which affect over 50% of the workforce), and eroding fragile public trust in state institutions.
- **The "Enabling" Thesis:** The paper argues that well-designed regulation is not an innovation constraint, but a catalyst. For emerging markets, smart regulation establishes institutional credibility, investor confidence, legal predictability, and consumer trust.

2. Global Regulatory Archetypes

The paper maps five distinct global regulatory approaches that form a spectrum from permissive to prescriptive:

- **Principles-Based Frameworks (OECD / UNESCO):** Voluntary, values-driven guidance focusing on human rights and fairness. Flexible for low-capacity nations but lack enforcement.
- **Comprehensive, Risk-Based Approaches (European Union AI Act):** A strict, systematic classification of AI systems by risk levels. Highly predictable but resource-intensive and potentially burdensome for smaller economic entities.
- **Sectoral & Guidance-First Models (United States):** Relies on existing regulators (FDA, FTC) and voluntary technical frameworks (NIST). Offers high flexibility but introduces sector-to-sector fragmentation risks.
- **Adaptive, Innovation-Friendly Approaches (United Kingdom):** Focuses heavily on regulatory sandboxes, specialized safety institutions (AI Safety Institute), and evidence-based iterations.
- **Security- and Sovereignty-First Models (China):** Tightly couples AI oversight with national security, content management, and state infrastructure control. Effectively asserts authority but reduces open market interoperability.

3. The Conceptual Framework for AI Regulatory Choices

The core analytical contribution of the paper maps regulatory policy choices onto a three-dimensional matrix, balancing clear legislative trade-offs against institutional realities:

Dimension	Policy Options	Implications & Trade-offs
1. What is Regulated?	Technology itself (algorithms, code traceability) vs. Outcomes of use (bias, discrimination, harms).	Regulating technology provides early control but risks rapid obsolescence. Regulating outcomes focuses on social impact but addresses risks only after harms materialize.
2. How is it Applied?	Binding instruments (laws, sanctions) vs. Non-binding instruments (voluntary codes) vs. Hybrid approaches .	Binding instruments provide legal certainty but demand high institutional enforcement capacity. Non-binding avenues are flexible but depend on voluntary compliance.
3. Who is Regulated?	Uniform regulation vs. Differentiated regulation (by actor type, application risk, or data exposure scale).	Uniform models risk choking local startups/SMEs. Differentiated/Risk-based models protect small innovators but require highly reliable risk assessment tools.

4. Binding Constraints: The Baseline Data Problem

A crucial takeaway for legal scholars is that sophisticated regulatory compliance mechanisms cannot function without baseline data infrastructure . The paper notes severe institutional gaps in the LAC region that act as binding constraints:

- **Fragmented Data Ecosystems:** 70% of LAC countries completely lack a public organization designated for data leadership, and 83% lack comprehensive data inventories. Ministries operate in data silos.

- **Weak Interoperability:** While 61% of countries have an interoperability framework, only 22% actually exchange key data categories across registries. Half of national institutions remain entirely cut off.
- **The Legal Bottleneck:** European-style risk-based monitoring or US-style sectoral coordination is functionally impossible to enforce without verified inventories and interoperable systems.

5. Strategic Recommendations & Legal Sequencing

Rather than deploying uniform or imported regulatory frameworks, the paper suggests a pragmatic, progressive sequencing strategy suited for emerging market institutional capacities:

- **Leverage Existing Frameworks Over Creating New Bodies:** Instead of standing up new, expensive standalone AI regulatory agencies, states should scale the mandates of existing authorities. Competition authorities can handle AI market concentration; data protection agencies can absorb algorithmic transparency; sectoral watchdogs can issue custom AI guidance.
- **Multidimensional Proportionality for SMEs:** Because SMEs employ 67% of the LAC workforce, regulatory obligations must scale not just by firm size, but via a matrix combining **firm size**, **volume/sensitivity of processed data**, and the **nature/reach of the application**.
- **Progressive Sequencing:** Countries should start with immediate, low-cost compliance steps (e.g., AI system registries, public sector procurement clauses, basic incident reporting) before graduating to legally complex mechanisms like mandatory algorithmic auditing and formal certification regimes.
- **Regional Harmonization:** Utilize existing regional spaces—such as eLAC2026, the MERCOSUR Digital Agenda, and the Latin American AI Index (ILIA)—to align on minimum shared standards (mutual recognition of AI evaluations, shared evaluation datasets) to avoid domestic regulatory arbitrage.